

GLOBAL RATES TRADER

A Higher Floor

The strong employment report has reinforced a higher distribution around US yields. We still think a long pause from the Fed is more likely than hikes and expect US yields to end the year lower than spot levels. However, the combination of solid growth news and unresolved inflationary pressure is likely to keep front-end pricing skewed towards hikes in the near term, even with ongoing prospects for energy price relief on any confirmation of a US-Iran deal. We now expect 10y UST yields to end the year at 4.4% from 4.1% previously. Given yields are currently above this level, we expect limited spillover effects into other G10 markets and keep most other yield forecasts unchanged. That said, we raise our 10y Gilt forecasts by 10bp to 4.5% for end-2026 given the higher beta exhibited by UK rates in recent years. We continue to expect earlier ECB hikes (starting next week) and weaker growth outcomes to restrain yields in Europe—tactically we think US 5y yields have room to rise on a relative basis versus Europe. In Japan, the hawkish shift in the BoJ communication raises the prospect of 5y rate underperformance on the curve, but we are not yet expecting the BoJ to signal a faster pace of tightening that would create the conditions to stabilize forward yields.

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United States and Canada

- **Shifting the distribution.** We think the May US labor market report sets a higher floor on US yields for now. Firm growth and ongoing inflation risk are likely to keep the market pricing clear asymmetry towards hikes in the near term. The main factor that likely held the market back from an even more front-loaded selloff was the relative stability in the unemployment rate and wage growth. Our economists have revised their projected Fed path, pushing out the final two rate cuts in their forecast to June and December 2027. Reflecting this, we have revised our UST yield forecasts higher and now see 2y and 10y yields ending 2026 at 3.8% and 4.4% respectively (from 3.4% and 4.1% previously), levels consistent with the market converging towards a more balanced distribution of risks around the policy path by year-end alongside relative stability in longer-term forwards (e.g. 5y5y, which are currently about fair). That dovish convergence in pricing likely requires some amount of validation from the data, which we expect over time under our economists' forecast for a moderation in sequential inflation and an uptick in the unemployment rate by year-end. But nearer-term risks are more balanced, with vulnerability that firmer data or a

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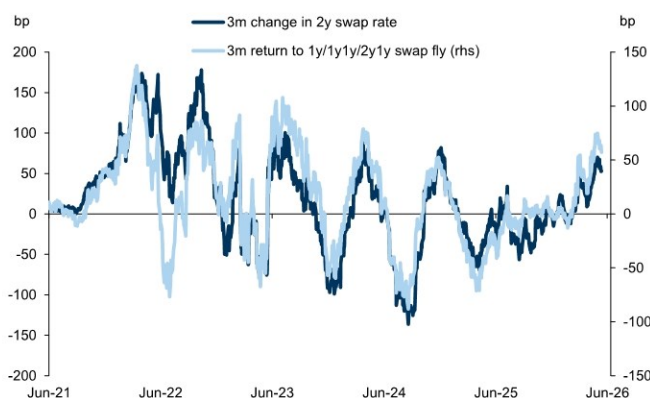
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more concrete hawkish shift in Fed communication see hike risks pulled forward (which would likely see leadership in sell-offs move into late-26/early-27 from mid-27 pricing).

- **Reds run ahead.** 1y1y rates (reds) have been the most volatile point along the US forward curve since the onset of the conflict, re-rating by about 110bp versus end-February levels and generally leading the way in both sell-offs and rallies. That repricing has shifted the prior front-end inversion into a hump, with a positive slope between 1y and 1y1y, and inversion from 1y1y to 2y1y. We think there are multiple routes to see that relative cheapness in 1y1y moderate. It is typical to see the 1y1y point lead on the curve in sharp inflections in front-end rates ([Exhibit 1](#)). While an extension of acute front-end cheapening can see further 1y1y underperformance, we would expect the opposite to hold on a reversal lower in yields, and we think that a period of stabilization can be a source of pressure relief. We think that can happen either via more benign inflation signals that moderate the upward slope priced into the front-end (1y/1y1y flattening), or due to a more resilient growth and labor market backdrop that either shift the timing of hike risk further in or start to undo the inversion priced in further out (1y1y/2y1y steepening) if the Fed signals a more patient approach.

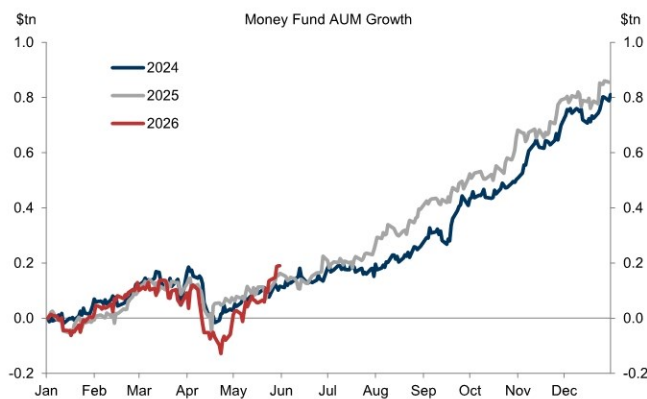
Exhibit 1: The 1y1y point has typically led on the US curve during sharp inflections in front-end rates

3m change in 2y swap rate vs 1y/1y1y/2y1y swap fly return (higher = belly underperforms)



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 2: Solid YTD Money Fund AUM growth reflects the higher-for-longer front-end yields



Source: Goldman Sachs Global Investment Research, Crane Data

- **Money fund AUM heading higher.** Growth in money fund AUM has been strong following a larger drop around the mid-April tax deadline compared to recent years. Year-to-date, however, cumulative AUM growth is only slightly above the 2024 and 2025 pace ([Exhibit 2](#)). We anticipated a deceleration in the pace of money fund growth this year on our expectations of lower front-end rates, a steeper overall curve, and positive equity returns. Even as the expectations for a steeper curve (e.g. 3m/2y or 3m/10y) and solid risk asset returns have been playing out, a Fed on hold baseline skews risks towards firmer AUM growth. Throughout this environment, T-bills have remained supported and still look slightly rich to fundamentals in spite of a rebuild in supply. Broadly, we think this reinforces our earlier assessment on underlying liquidity conditions and the scope to sustain a lower pace of RMPs.

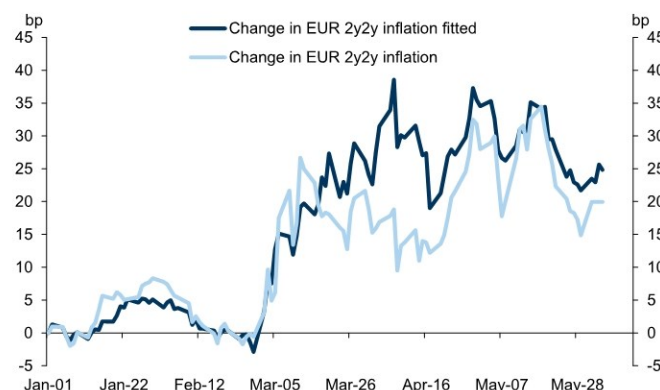
- **Canadian data dashboard warrants pricing more two-sided risks.** Following repeated downside inflation surprises and the growth contraction that has put the Canadian economy into a recession, the BoC will have to weigh uncertain inflation risks from the conflict in the Middle East against activity weakness even as this week's stronger labor report quelled more urgent concerns. Market pricing through year-end has remained notably hawkish through some of the more dovish signals from domestic fundamentals, with about 35bp of hikes priced by December. While we think placing some weight on an eventual return towards the middle of the neutral range is reasonable, we think the hurdle to hike in the near term is high, particularly as long as USMCA negotiations are unresolved. Given the risks to activity, we think additional cuts cannot be written off and continue to see value to receiving the front-end of the CAD curve. That said, we continue to prefer 2s5s steepeners over outright longs, as we think the front-end should be comparatively sticky versus the belly in broader sell-offs, whereas there is room still to reorient the near-term path and/or delay the timing of hikes on additional data disappointment.

Europe

- **July signaling key for EUR front-end pricing.** Our economists expect the ECB to deliver a 25bp hike as their macroeconomic projections are likely to show a substantial and sticky core HICP overshoot above the 2% target. We believe the ECB will continue to defend a meeting-by-meeting approach, but any signals on the likelihood of an additional hike in July will be closely watched. We note that July pricing has partly decoupled from its relationship with December pricing since mid-May, suggesting some vulnerability should President Lagarde hint at willingness to tighten policy faster than in quarterly increments. At the same time, any signals that July is likely to be a pass (for example, any sense of 'patience' in waiting for further data) is likely to see December pricing catch down to the July slope pricing as the market puts higher weight on the possibility of a 'one-and-done' hike in June. On our baseline, the ECB will hike, which offers relatively unattractive risk-reward longs on Z6. We prefer terminal rate longs instead as growth signals weaken and ECB hikes help anchor forward rates.
- **HICP pricing some relief, real rates to fall further.** HICP pricing has declined in recent weeks, alongside relief in energy markets as confidence in an eventual US-Iran deal increased. Pricing is still modestly above our forecasts in the coming year, but our fair value model for inflation forward pricing shows that the recent relief rally has moved further than macro factors and energy prices imply (Exhibit 3). The rebalancing of the oil market via not only temporary inventory drawdowns but also weaker oil demand not only clips the upside risks to energy prices but also reveals the potential downside growth effects from the current shock. As a result, risk-reward remains balanced on the HICP curve. Given the modest cheapening in inflation vs our macro model, in combination with ongoing weakness in growth signals we continue to recommend long 5y5y real EUR swap rates.

Exhibit 3: The recent decline in traded inflation has outpaced what the macro and energy pricing imply

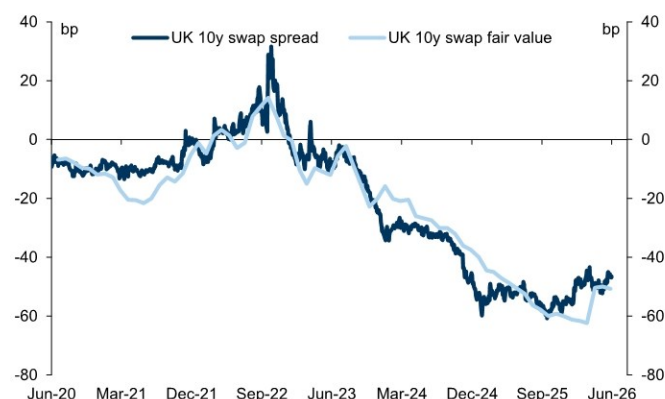
Fair value model based on energy prices, core inflation, the euro currency and the level of nominal yields



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities, Haver Analytics

Exhibit 4: Signals for Gilt spreads suggest supply is not the key issue for Gilts

Fair value model based on repo-ois spread, rates volatility, free float, the level of yield and the curve



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities, Haver Analytics

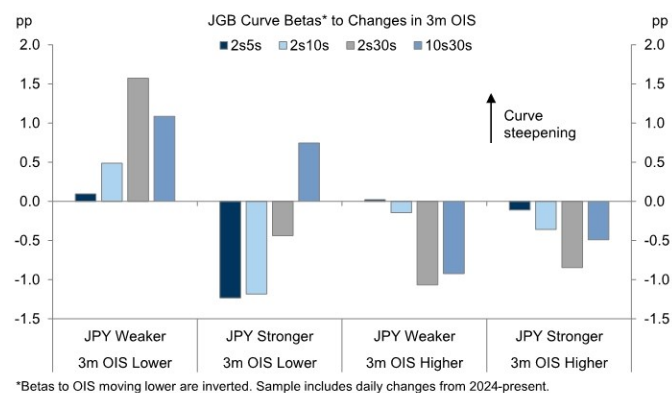
- Fiscal policy still relevant for European spreads.** We continue to be positive on front-end sovereign credit as a carry expression in European rates markets. With inflation risks now more balanced, there are reduced prospects for much higher rates volatility, and the market already prices the extent of the upcoming ECB hiking cycle, in our view. The fiscal response to higher energy prices has so far been muted, including in places like France which had provided substantial relief back in 2022/23. But pressure remains on European budgets, especially should flows through Hormuz stay muted. For instance, this week the European Commission decided to allow some exemptions for “energy resilience” measures in the context of fiscal rules, worth 0.3% of GDP for the years 2026-28. While this remains modest, against this backdrop we think front-end EGBs should be better protected should energy price upside re-emerge, in which case we’d expect the credit curve to steepen curves.
- Macro risks not supply risks key for Gilts.** Despite a strong narrative around political and supply risks for the UK bond market, 10y Gilts have quietly performed quite well on asset swap over recent weeks. Gilt risks have relaxed since mid-May with our term premium estimate declining by around 25bp. We think the relative stability — if not strength — of Gilts on asset swap is supporting evidence for the view that risk premium in the Gilt curve is currently more macro-driven rather than supply-driven. Indeed, on our models, we find swap spread valuation near fair (Exhibit 4). Although we find evidence that over recent years the increase in the supply of bonds via large deficits and BoE QT has contributed to higher long-end yields, current term premium volatility seems to derive from macro risks around the medium-term fiscal outlook and near-term inflation. Given that fiscal uncertainty is likely to linger through any potential Labour leadership contest, we think that further macro relief is required for Gilt outperformance, namely additional certainty around the path for inflation, and confirmation that the inflation path is consistent with the BoE on hold. As a result, we prefer to 2s10s curve steepeners given its compatibility with both macro relief and a sticky fiscal risk premium into the 18 June Makerfield by-election. Reflecting the higher beta to global yields in recent years, we raise our 10y Gilt forecast to 4.5% from 4.4% given our higher US 10y yield forecasts as

above.

Japan

- **Behind the curve worries remain despite an earlier BOJ hike.** The JGB curve flattened this week, reflecting a hawkish repricing of the June BoJ meeting, with BOJ OIS implying nearly a 95% probability of a June hike (up from 70% last week). Governor Ueda signaled greater urgency to tighten and the need to secure market confidence that the BoJ will properly control inflation, supporting the market's repricing and prompting our economists to pull forward their forecast for the next BoJ hike to June from July. Even with the timing adjustment, they have maintained their baseline for a roughly semi-annual pace of hikes. While the curve had flattened somewhat into the speech, the aftermath has seen yields move higher and the curve re-steepen, a pattern at odds with the intuitive response to a hawkish signal. Indeed we find that hawkish policy innovations—proxied as instances with higher 3m OIS yields and a stronger Yen—typically result in bear flattening consistent with a more front-loaded policy reaction (Exhibit 5). Although the shift at the very front-end was directionally hawkish and recent communications have emphasized the importance of securing market confidence, we think the muted move beyond the first few meetings and limited FX response suggests little perceived shift in broader reaction function at this point. A more explicit hawkish shift in the BoJ reaction function (i.e. openness to a faster pace of hikes/higher rate) would be impactful, in our view, but absent that we think that near-term risks remain towards further upward pressure on yields, with more of that cheapness migrating into the belly of the curve.

Exhibit 5: Hawkish BoJ policy innovations typically result in bear flattening consistent with a more front-loaded policy reaction



Source: Bloomberg, Goldman Sachs Global Investment Research

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Forecasts

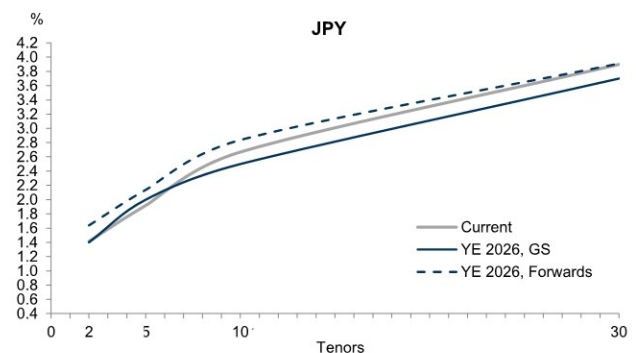
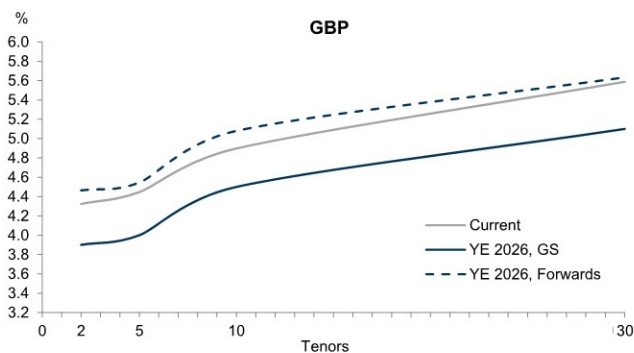
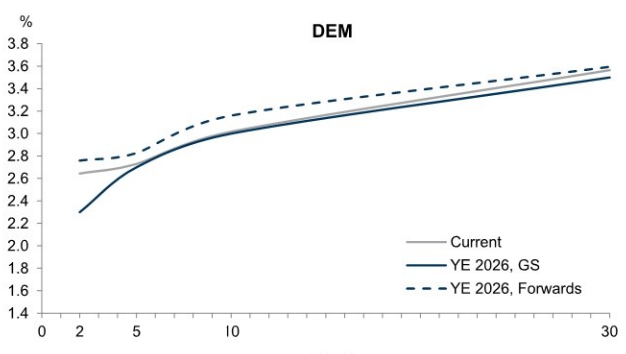
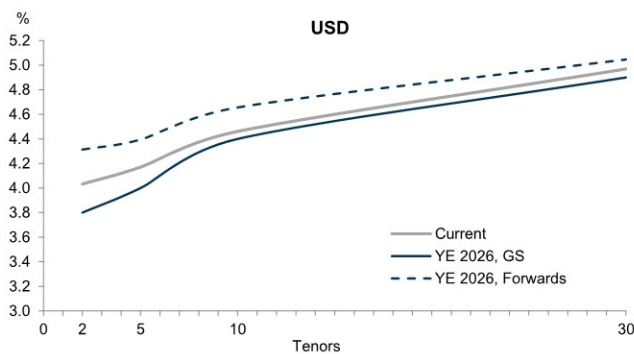
G10 10y yield forecast

G10 10-Year Yield Forecasts													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
Spot	4.54	3.04	3.69	3.80	3.47	4.90	2.67	3.47	0.44	2.89	4.40	4.91	4.52
2Q26	4.50	2.90	3.65	3.70	3.45	4.75	2.50	3.45	0.30	3.15	4.10	4.85	4.50
3Q26	4.45	2.95	3.70	3.80	3.50	4.60	2.50	3.50	0.40	3.20	4.00	4.75	4.50
4Q26	4.40	3.00	3.75	3.85	3.55	4.50	2.50	3.50	0.50	3.25	4.00	4.70	4.50
1Q27	4.35	3.00	3.75	3.90	3.60	4.50	2.45	3.50	0.50	3.25	4.00	4.60	4.50
2Q27	4.30	3.00	3.75	3.90	3.60	4.40	2.40	3.50	0.50	3.25	4.00	4.50	4.50
3Q27	4.25	3.00	3.75	3.90	3.60	4.40	2.30	3.50	0.50	3.25	4.00	4.50	4.50
4Q27	4.25	3.00	3.75	3.90	3.60	4.35	2.25	3.50	0.50	3.25	4.00	4.50	4.50

Deviation from Forwards													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
2Q26	-0.05	-0.16	-0.07	-0.13	-0.04	-0.19	-0.19	-0.04	-0.13	0.28	-0.29	-0.07	-0.04
3Q26	-0.15	-0.17	-0.12	-0.13	-0.06	-0.43	-0.26	-0.05	-0.08	0.31	-0.37	-0.20	-0.11
4Q26	-0.25	-0.16	-0.12	-0.14	-0.06	-0.58	-0.34	-0.09	0.00	0.33	-0.37	-0.27	-0.18
1Q27	-0.34	-0.19	-0.17	-0.15	-0.06	-0.62	-0.46	-0.12	-0.02	0.30	-0.36	-0.39	-0.25

Source: Goldman Sachs Global Investment Research

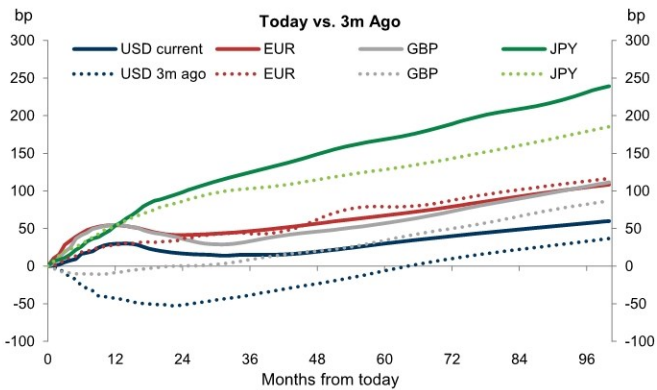
G4 Curve Forecast



Source: Bloomberg, Goldman Sachs Global Investment Research

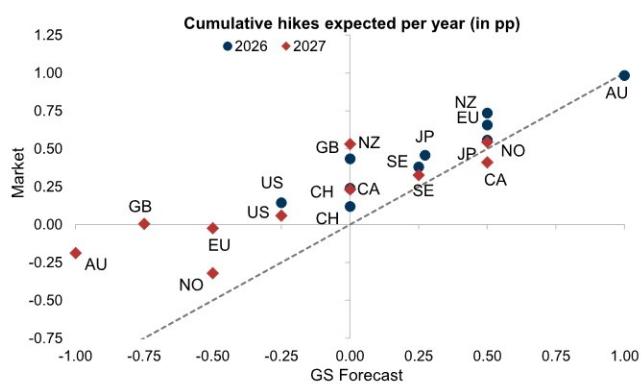
Central Bank Dashboard

Cumulative amount of hikes/cuts priced from today



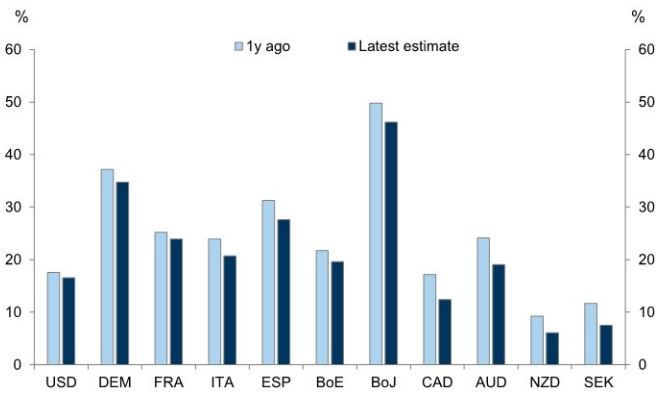
Source: Goldman Sachs Global Investment Research

Expected hikes by year, GS vs. Market



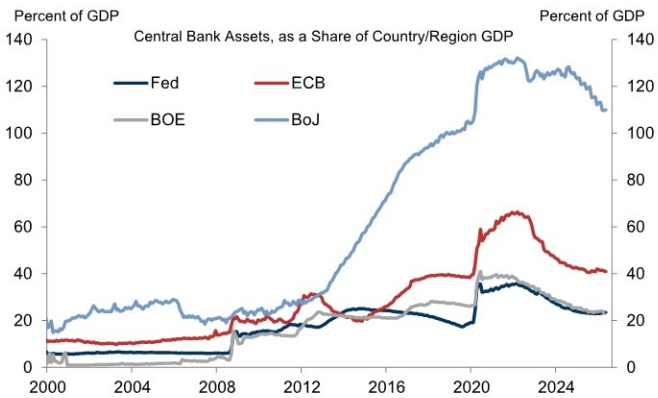
Source: Goldman Sachs Global Investment Research

Central bank ownership of sovereign bonds, current vs. 1y ago



Source: Haver Analytics

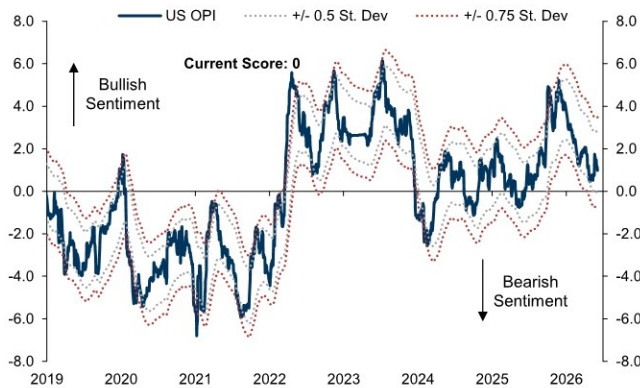
Central bank assets as a share of GDP



Source: Haver Analytics

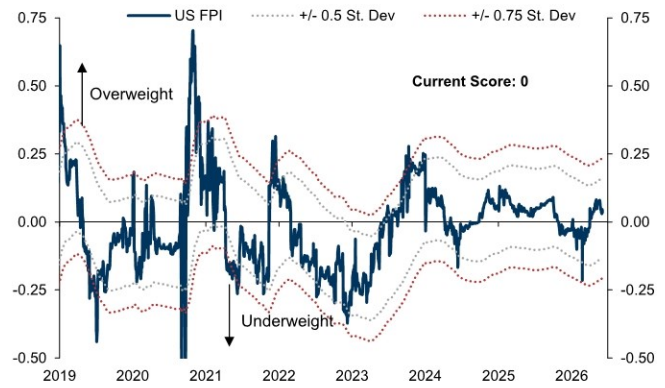
Positioning and Flows Monitor

Option implied position indicator



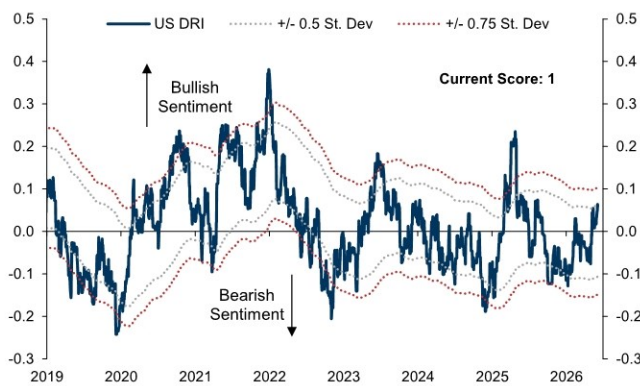
Source: Goldman Sachs Global Investment Research

GS Fund Positioning Indicator



Source: Goldman Sachs Global Investment Research

US Data Response Indicator (DRI)



Source: Goldman Sachs Global Investment Research

CFTC Commitment of Traders and Traders in Financial Futures

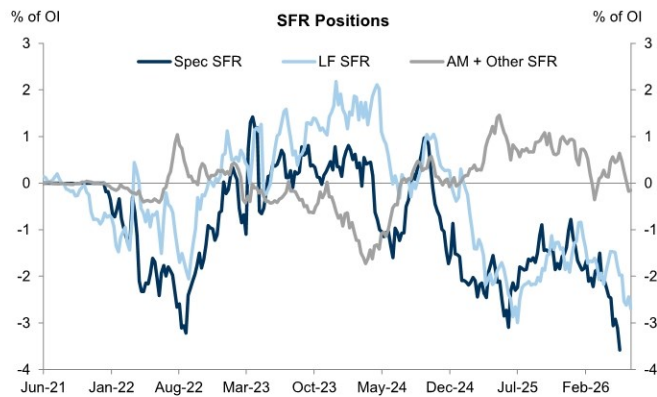
Duration-weighted net position by investor type

Duration-Weighted Positioning, by Contract

\$mm/bp	SFR	TU	FV	TY	TN	US	WN
Spec Current	-56.0	-43.2	-53.7	-46.6	-10.2	-27.2	-45.0
Spec 1w Change	-5.8	10.9	0.1	4.2	-0.5	-1.7	-2.3
LF Current	-48.8	-61.0	-84.3	-120.4	-20.7	-44.6	-151.0
LF 1w Change	-3.7	4.0	7.8	1.6	2.6	0.1	-2.3
AM + Other Current	-3.5	72.2	110.7	131.6	53.0	61.9	186.5
AM + Other 1w Change	0.4	-4.7	-8.9	-17.2	-0.3	2.0	3.3
Dealer Current	52.0	-13.1	-29.1	-29.9	-22.1	-29.7	-33.3
Dealer 1w Change	3.1	1.0	-2.9	1.4	-2.4	-3.9	-0.3

Source: CFTC, Goldman Sachs Global Investment Research

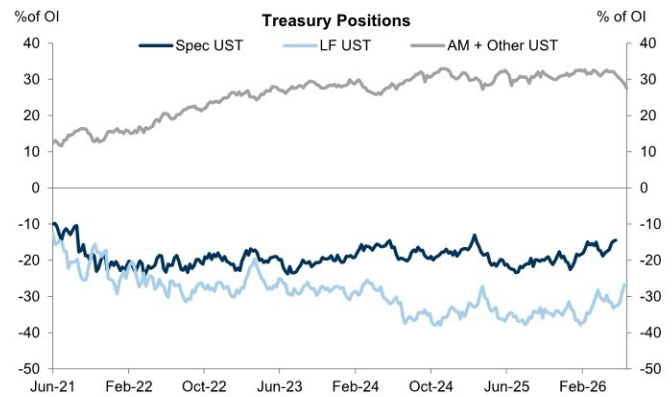
Net positions in Eurodollars



Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Net positions in UST futures

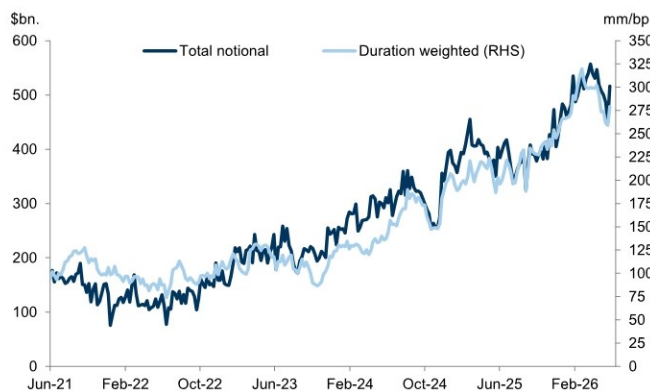


Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Primary dealer transactions

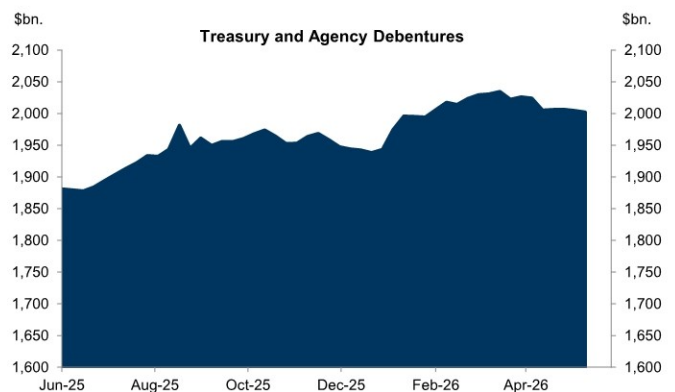
Net dealer position in US Treasuries



Source: Federal Reserve Bank of New York, Goldman Sachs Global Investment Research

US Commercial Banks' Holdings of Treasury and Agency Securities

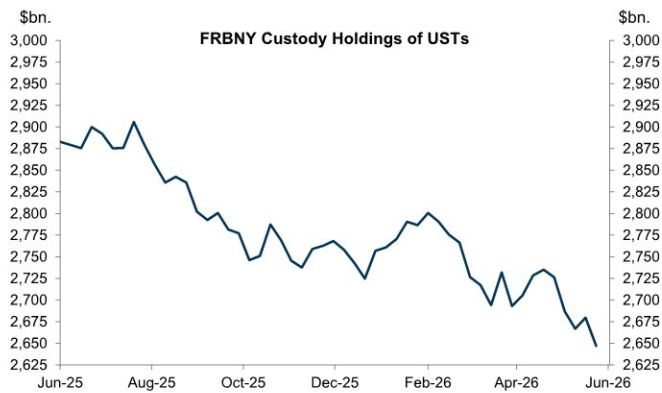
Total domestic and foreign holdings, all commercial banks



Source: Federal Reserve Board

NY Fed Custody Holdings

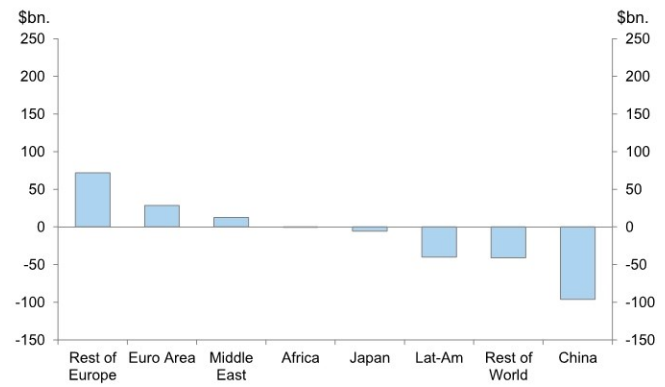
Marketable US Treasuries



Source: Federal Reserve Bank of New York

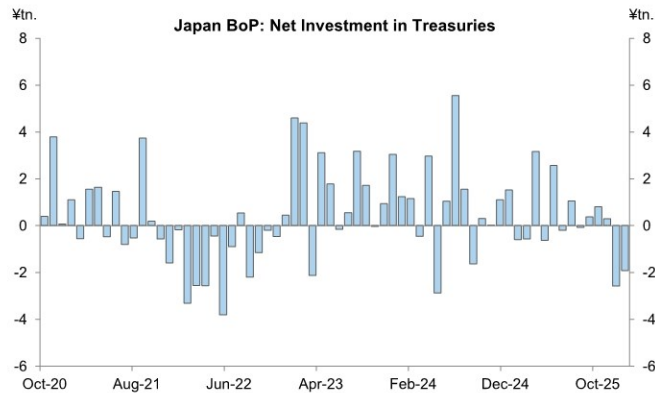
US TIC Treasury Flows

12m change in valuation-adjusted holdings of USTs, by holder of debt



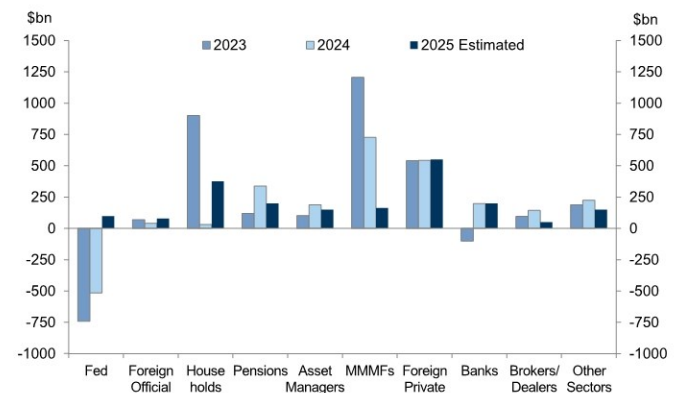
Source: US Treasury, Goldman Sachs Global Investment Research

Net monthly purchases of short- and long-term US Treasuries by Japanese investors



Source: Bank of Japan, Haver Analytics

Flow of Funds annual net purchases of US Treasuries, by sector

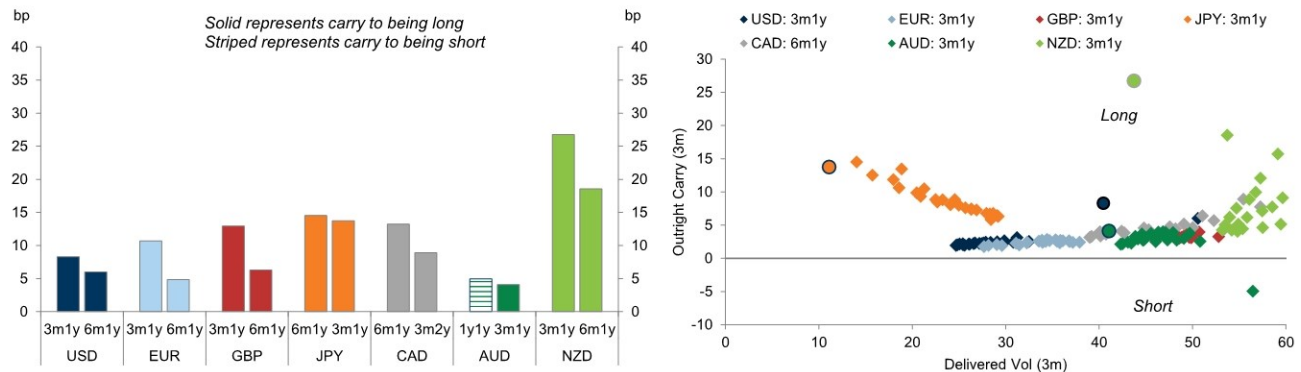


Source: Federal Reserve Board, Goldman Sachs Global Investment Research

Carry/Rolldown Monitor

Outright Carry

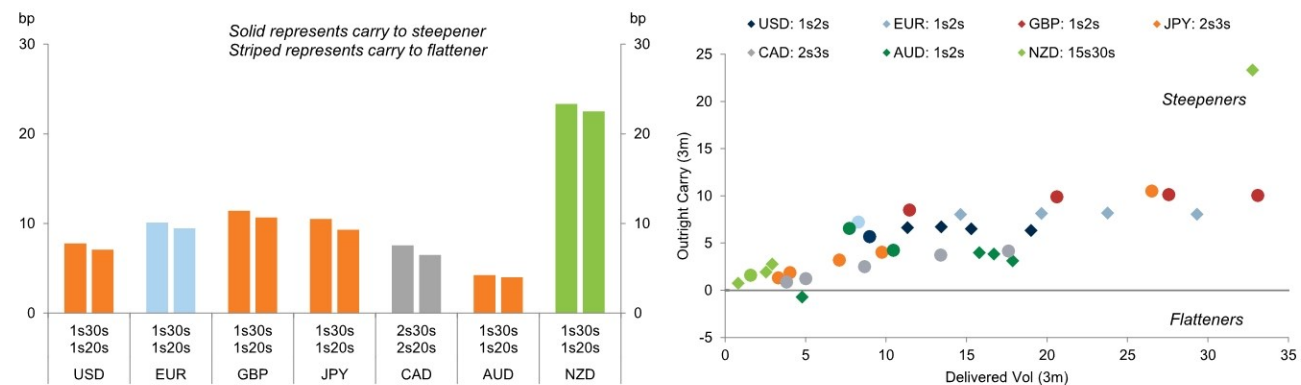
Bar chart shows top two carry points by currency, with solid reflecting carry to a long position and striped carry to a short position. Scatter illustrates top 25 carry/vol points by currency, with top point by currency noted



Source: Goldman Sachs Global Investment Research

Curve Carry

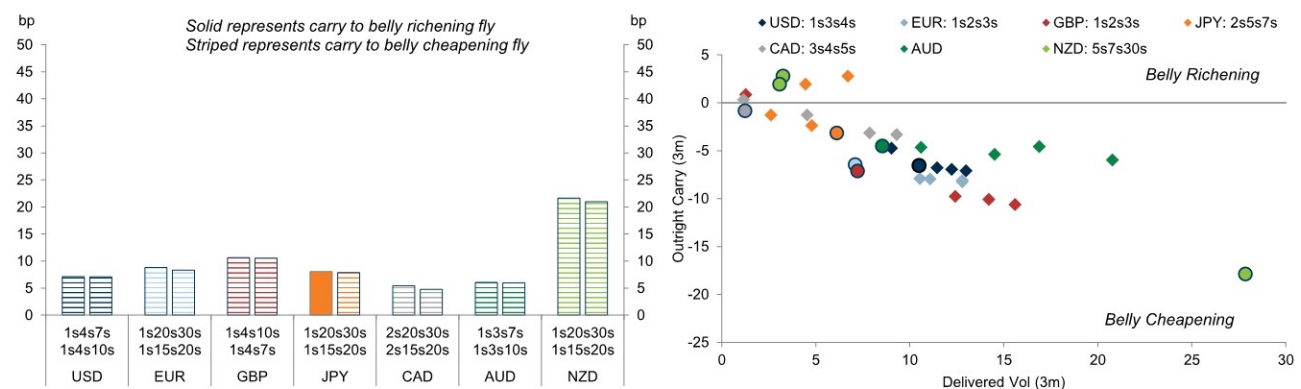
Bar chart shows top two carry curves by currency, with solid reflecting carry to a steepening position and striped carry to a flattening position. Scatter illustrates top 5 carry/vol curves by currency, with top curve by currency noted



Source: Goldman Sachs Global Investment Research

Fly Carry

Bar chart shows top two carry flies by currency, with solid reflecting carry to a belly-richening fly and striped carry to a belly-cheapening fly. Scatter illustrates top 5 carry/vol flies by currency, with top fly by currency noted.



Source: Goldman Sachs Global Investment Research

Treasury Supply Monitor

Gross Treasury auction size estimates by year end, with GS projections

Monthly Auction Amounts at End of Calendar Year (\$ billions)											
	2y FRNs	2y	3y	5y	7y	10y	20y	30y	5y TIPS	10y TIPS	30y TIPS
YE-25 (CY)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-26 (CY, GS)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-27 (CY, GS)	33 / 30 (r)	83	72	84	58	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	28 / 26 (r)	21 / 19 (r)	9 / 8 (r)

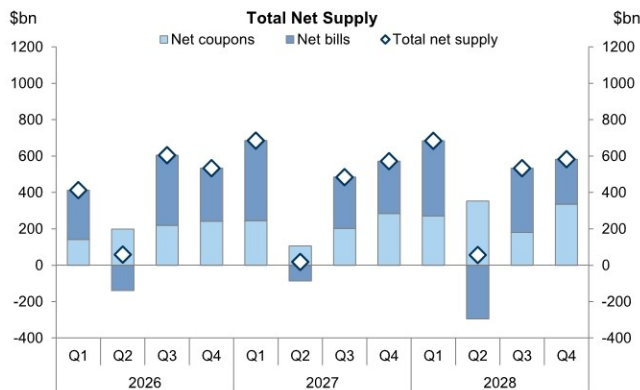
* Original Issue / Reopening listed for FRNs, 10s, 20s, 30s, and TIPS.

US Treasury Net Issuance by Calendar Year (\$ billions)						
	Net Coupons	Fed	Net of Fed	Net Bills	Fed	Net of Fed
CY 2024	1346	-475	1821	511	-23	534
CY 2025	1566	-115	1681	360	38	322
CY 2026, GS	1225	-1	1226	811	422	389
CY 2027, GS	1286	0	1286	927	449	478

Duration supply (\$bn 10y equiv)		
Gross supply	Fed	Net of Fed
2765	0	2765
2797	0	2797
2796	0	2796
2929	0	2929

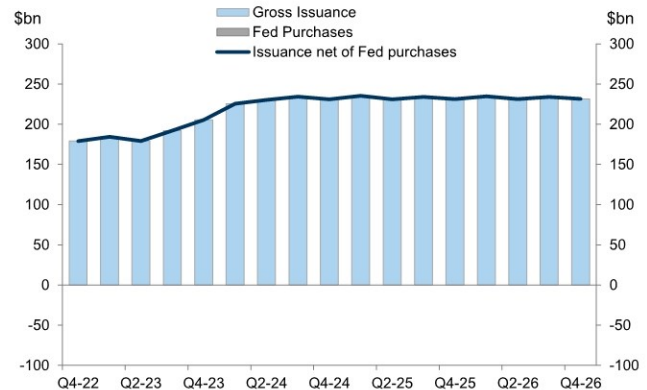
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Net issuance per quarter



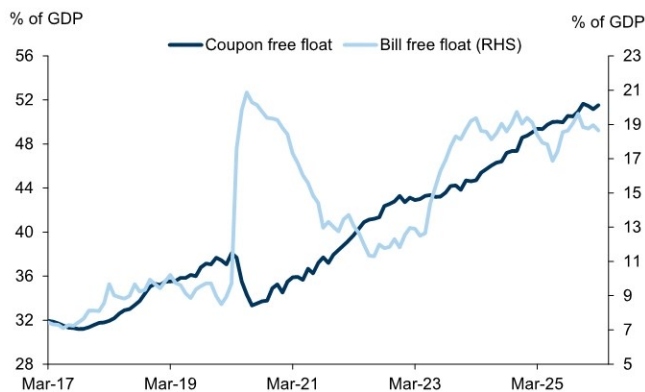
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Average monthly UST issuance, gross and net of Fed purchases; \$bn 10y equivalents



Source: Goldman Sachs Global Investment Research, US Department of the Treasury

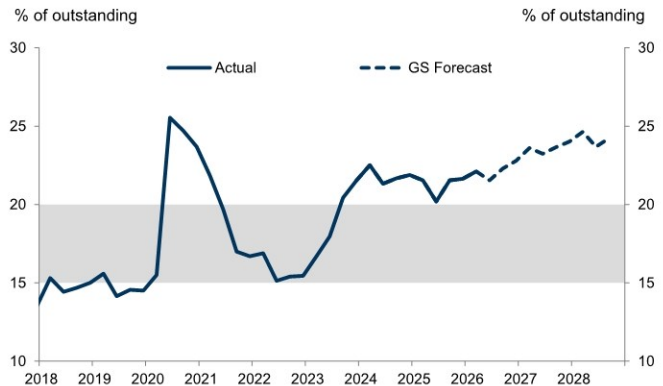
Free float (Treasury's outstanding less Fed and foreign official holdings) as % of GDP



Source: Haver Analytics, US Treasury, Goldman Sachs Global Investment Research

Bills as a share of Treasuries outstanding and GS forecast

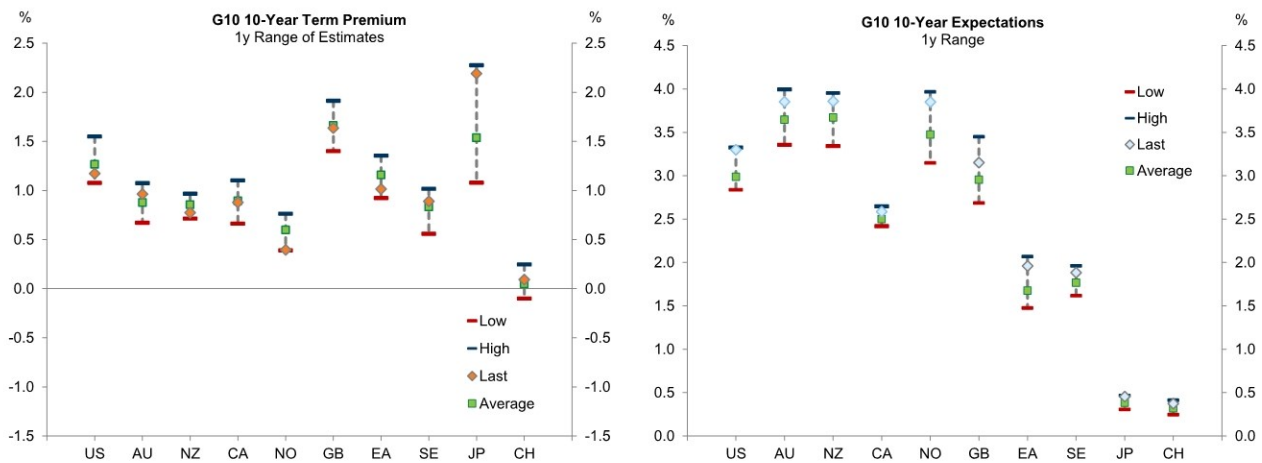
Gray shading denotes TBAC recommended 15-20% range



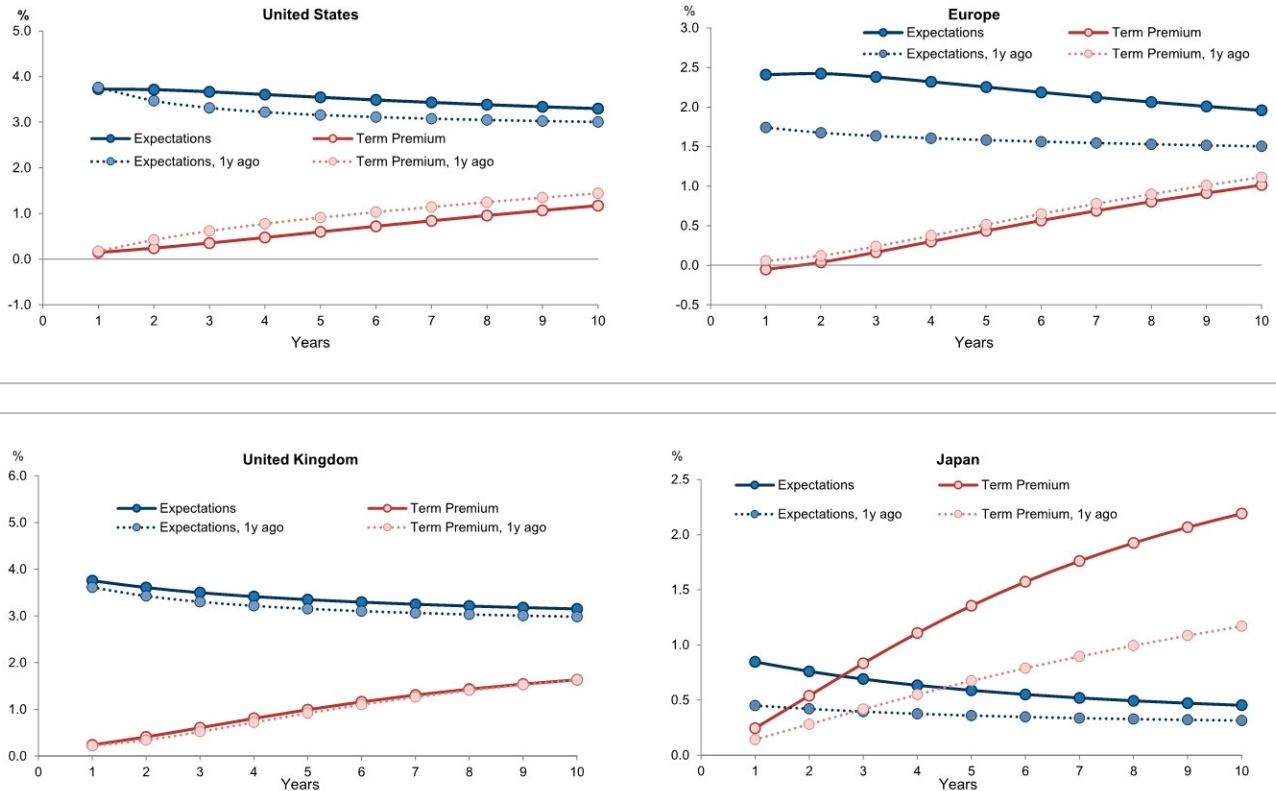
Source: US Treasury, Goldman Sachs Global Investment Research

GS Term Premium Decomposition

1y Range of G10 10y Yields, by Term Premium and Expectations Components



Term Structure of Fitted Yields, by Component



Source: Goldman Sachs Global Investment Research

2026 Trade Recommendations

GS Rates Trades						
Active	Entry Date	Opened	Latest	Stop	Target	Performance
1. Long 3y France, Spain, Italy vs OIS (equally weighted)	10-Apr-26	0.33	0.31	0.32	0.23	+2 bps
2. Long 3y SOFR swap spread	17-Apr-26	-0.226	-0.201	-0.230	-0.180	+3 bps
3. 2s5s CAD steepeners	24-Apr-26	0.20	0.22	0.20	0.35	+2 bps
4. Long 5y5y EUR OIS - HICP	01-May-26	1.09	1.05	1.22	0.88	+4 bps
5. Long 5y Receivers on 3m 2s5s10s Receiver Fly (bp running)	08-May-26	0.01	-0.01	-0.05	0.10	-2 bps
6. 1y forward 2s10s GBP OIS steepeners	29-May-26	0.38	0.36	0.25	0.55	-2 bps
Closed	Entry Date	Closed	Performance			
1. SFRZ6/Z7 steepeners	21-Nov-25	14-Jan-26	+6bps			
2. Long 10y Gilts on ASW	21-Nov-25	30-Jan-26	+12 bps			
3. Long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running)	07-Nov-25	09-Feb-26	-2 bps			
4. 2s5s CORRA steepener	16-Jan-26	13-Feb-26	+0 bps			
5. Receive AUD 5y5y IRS vs pay NZD 5y5y	28-Nov-25	18-Feb-26	+0 bps			
6. Long 20s on 10s20s30s weighted SOFR fly (weights 0.6x : 2x : 1.4x)	01-Aug-25	02-Mar-26	+6 bps			
7. Long SFIU6	30-Jan-26	03-Mar-26	+7 bps			
8. Long 10y Gilts vs Bunds	07-Nov-25	09-Mar-26	+4 bps			
9. 3m10y A+5/A+20/A+27.5 payer ladders (bp running)	20-Feb-26	23-Mar-26	-5 bps			
10. Long 10y NOK vs SEK	13-Feb-26	25-Mar-26	+20 bps			
11. Long EU 30y on the fly against 30y Austria and Spain	27-Feb-26	10-Apr-26	-5 bps			
12. Long USD 3m 2s10s A+10/A+25 curve cap spread (bp of notional)	23-Jan-26	15-Apr-26	-2 bps			
13. USD 3m3y A-5/A-40 receiver spreads	13-Mar-26	30-Apr-26	-7 bps			
14. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	27-Mar-26	07-May-26	+15 bps			
15. Pay 10s on 5s10s30s SOFR fly	09-Jan-26	08-May-26	-1 bps			

Note: Potential profit/loss estimates are given as per unit of duration risk, through yesterday's close.

Source: Goldman Sachs Global Investment Research

Global Interest Rates Strategy

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Reg AC

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